TEACHER GUIDE

AQA A-level Business (7138)

Forms of business and stakeholders



3.1 Unit: What is business? Managing marketing and finance
3.1.2 Forms of business and stakeholders; 3.3.1 Business and society

A revision lesson. Pupils run a car dealership in firms of four and revise forms of business and stakeholders on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Power-interest map

Round 1

The council can block your plan for a new showroom, but takes little interest in it.

On a power-interest map, how should you treat them?

- **A** Manage closely
- **B** Keep informed
- **C** Keep satisfied
- **D** Minimal effort

ANSWER

✓ **Keep satisfied**

Why: High power and low interest: keep them satisfied.

2 Benefits of CSR

Round 1

Your firm pays for road-safety lessons in local schools, though no law asks it to.

Which two benefits are most likely?

- **A** A better local reputation
- **B** Fewer laws to follow
- **C** Higher profit this year
- **D** Lower costs this year
- **E** Easier to recruit staff

ANSWER

✓ **A better local reputation**
✓ **Easier to recruit staff**

Why: CSR costs money now, but wins goodwill with buyers and job seekers.

3 Dividend share

Round 2

Three firms: profit for the year, and the dividends paid.

Order by share of profit paid out, lowest first?

- **A** Profit £80,000, dividends £40,000
- **B** Profit £200,000, dividends £50,000
- **C** Profit £150,000, dividends £15,000

ANSWER

1. **Profit £150,000, dividends £15,000**
2. **Profit £200,000, dividends £50,000**
3. **Profit £80,000, dividends £40,000**

Why: 10%, 25%, 50%: the rest is kept to invest in the firm.

Topic tasks

4 CSR and profit

Round 2

Road-safety lessons in local schools.

Effect on profit? Minus allowed.

Cost of the lessons, a year	**£9,000**
Extra sales from goodwill	**6 cars**
Contribution per car	**£1,900**

ANSWER

£2,400

6 × £1,900 − £9,000 = £2,400

Why: CSR costs money now; goodwill must bring sales to pay for it.

5 Does green pay?

Round 3

A green valeting firm costs £4,500 more a year and wins 4 extra sales, £900 contribution each.

Which choice raises profit on these figures, and why?

A Keep the current firm

B Switch to the green firm

ANSWER

✓ Keep the current firm

Why: 4 × £900 = £3,600, under the £4,500 extra cost: on these figures it loses £900 a year.

6 Residents' power

Round 3

Residents who care about traffic from your new showroom win the council's support.

On a power-interest map, how should you now treat them?

A Manage closely: their power rose

B Minimal effort: they cannot stop you

C Keep satisfied: interest is low

D Keep informed: power is still low

ANSWER

✓ Manage closely: their power rose

Why: High interest and now high power: a key player, managed closely.

Final questions

Each pupil answers 6 final questions on forms of business and stakeholders. They come from these 11 questions.

1 A legal finance promotion is likely to be misunderstood by vulnerable customers. Which response best supports responsible long-term performance?
✔ **Test understanding, show total cost and risks, fix bad incentives**

2 A dealer learns that a contractor manipulated mileage records. Which board response best protects long-term value?
✔ **Stop affected sales and investigate independently**

3 Customer finance documents are exposed online. Which action is least defensible?
✔ **Suppress evidence so the firm can delay informing affected people**

4 A brake fault means a dealer must recall every car of one model it sold. Apart from owners, which stakeholder is most affected?
✔ **Workshop staff: weeks of unplanned recall work displacing jobs**

5 A dealer group says it takes a stakeholder approach rather than a shareholder approach. Which statement says what that distinction means?
✔ **Stakeholder: weigh every affected group; shareholder: owners' return first**

6 A dealer group plans to close a loss-making rural branch. Which two stakeholders are most likely to conflict over it?
✔ **Shareholders and local employees**

7 A dealer could pay a bigger dividend or fit solar panels that only pay back in nine years. Which argument supports the panels?
✔ **Lower long-run costs and a better reputation**

8 Which of these is an external stakeholder of a dealership?
✔ **The local community near the site**

9 A dealer group plans to move a town-centre showroom to a cheaper out-of-town site. Which stakeholder conflict is most likely?
✔ **Shareholders gain from lower costs; local staff may lose jobs**

10 A dealer pays for free electric-vehicle charging points for its town, although this cuts short-term profit. What does this decision best show?
✔ **Corporate social responsibility**

Final questions

11 A dealer group’s board weighs the interests of staff, customers and the local community, not only its owners, when it decides. Which approach is this?

✔ **A stakeholder approach**